

backroom deals with brokerage firms. These extra costs are typically not reported to investors, but they do show up in subpar fund performance.

TAXES ARE AN EXPENSE

Investors who buy mutual funds in a taxable account may incur a cost that can dwarf all others—the cost of taxation. There are four different events that can trigger a tax on mutual fund shareholders. Three of these events are created by cash distributions by a mutual fund. Investors trigger the fourth taxable event by selling mutual fund shares.

Mutual fund companies distribute ordinary interest and dividend income to shareholders on a regular basis. Interest income is subject to ordinary federal income taxes at an individual's rate, and dividends incur a lower tax rate.

Capital gains distributions by fund companies are also common, and they are a taxable event. Realized capital gains are divided into short-term gains on investments held one year or less and long-term gains on investments held for more than one year. Like dividends, long-term capital gains are taxed at a lower tax rate than ordinary income. Short-term gains are taxed as ordinary income. Mutual fund distributions are subject to income taxes even if a shareholder automatically reinvests the cash in more shares.

Mutual fund managers do not hesitate to distribute all income and realized capital gains. If the fund manager did not distribute the income and gains, the fund itself would have to pay a 35 percent tax on those amounts.

ETFs have certain tax advantages over traditional mutual funds when it comes to distributing capital gains. Basically, ETF managers are able to eliminate the realized gains in a fund because of the way ETF trading operations are structured. More detail on ETF structure is discussed later in this chapter.

Mutual fund and ETF income and capital gains distributions are reported to taxable shareholders annually on Form 1099-DIV. The report is sent in late January for the previous tax year. Not all cash distributions shown on Form 1099-DIV represent taxable income. Municipal bond funds distribute mostly tax-free interest income that is not taxable at the federal level. The exceptions are certain municipal bonds that pay taxable income, and possibly bonds subject to the alternative minimum tax (ATM). In